36–48 STEELES AVE E / 37–49 HIGHLAND PARK BLVD · MARKHAM · IN RECEIVERSHIP

# Three towers, one *healing* community

*An approved two-tower site at Yonge & Steeles, bought out of receivership: affordable and market rental, a Heal House retirement residence with wellness stays, and a boutique condo tower — anchored by the Building Ontario Fund, BCH and CMHC.*

| 1,216 homes | $593.7M | $31.0M | $135.4M | $37.7M |
|---|---|---|---|---|
| 250 AFFORDABLE · +80 SUITES | TOTAL PROGRAM COST | BUILDING ONTARIO FUND | BCH, MEZZ REPAID YR 10 | SPONSOR EQUITY, RENTAL TOWERS |

## 01 · THE THREE TOWERS

| TOWER | HOMES | COST | YR-1 NOI / PROFIT |
|---|---|---|---|
| **A** · 44 storeys · affordable + market rental | 555 (167 aff.) | $237.2M | $10.8M |
| **B** · 40 storeys · Heal House retirement residence | 411 (83 aff.) | $216.4M | $10.8M |
| **B** · wellness-stay suites + Heal House podium | 80 keys | $27.3M | $1.3M |
| **C** · 23 storeys · boutique condo (to be approved) | 250 | $112.7M | $51.3M profit |
| **Total** | **1,216** | **$593.7M** | |

## 02 · HOW THE SITE COMES TOGETHER

1. **LiUNA's pension backs Nesting Ground's guarantee pool**, lifting the land loan from $19.5M to the full $31.0M price — an $11.5M guarantee.
2. **Buy from the receiver** and pay out the secured lenders; $8.7M of equity at purchase covers transfer tax, carry and pre-development.
3. **Tower A and Tower B close construction financing**; each tower's stack retires its share of the land loan.
4. **Sunray funds the wellness-stay suites** ($27.3M); **Tower C** follows once rezoned, sold through presales.
5. **At Year 10**, refinancing repays BCH's mezzanine and the Fund; the sponsors keep the buildings.

## 03 · WHAT WE NEED TO RAISE

**$31.0M** — Building Ontario Fund — Tower B, $75.5K/home

**$135.4M** — BCH — $73.8M contribution + $61.6M mezz

**$226.8M** — CMHC MLI Select, Towers A + B

**$22.7M** — City of Markham — incentives / DC relief

**$37.7M** — Sponsor equity — $8.7M at purchase, rest at construction close

**$11.5M** — Land-loan guarantee — LiUNA via Nesting Ground

**$27.3M** — Sunray — wellness-stay suites

**$22.5M** — Tower C equity (20% of cost), later phase

## 04 · WHAT IT RETURNS

| | |
|---|---|
| Tower A — Year-10 cash · sponsor multiple | $105.4M · 8.3x |
| Tower B — Year-10 cash · sponsor multiple | $27.8M · 5.2x |
| Tower C — condo profit at $1,050/sf | $51.3M · 31% |
| Heal House — fees, wellness days, memberships | $2.1M EBITDA/yr |

BCH and the Fund are repaid in full at Year 10 in both rental towers. The sponsors then own Tower A ($92.5M equity) and Tower B ($60.6M equity).

HEAL HOUSE

*A sanctuary for healing.*

Sources: Approved 40/44-storey scheme, 858,648 sf (Colliers brochure, Jun 2026); split between towers by storeys — unverified vs stamped set · Arterial hard cost: $370/sf (40–60 storeys), $340/sf (20–40 storeys), Markham (Nov 4–5 2026) · Arterial comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp · CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 via Arterial · Markham multi-res tax 0.8397% (Arterial, 2025) · ESTIMATE — no Arterial Markham/York DC data; affordable homes assumed DC-exempt · ASSUMPTION — licensed retirement home with two services: 1-bed $6,000, 2-bed $7,800/mo all-in; 92% occ.; 62% expenses incl. 5% Heal House management fee; 6.0% cap · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask over ~2,000 homes = $75.5K/home · ASSUMPTION — 80 wellness-stay suites, ADR $185, 72% occ., 30% NOI margin, funded by Sunray cash · ASSUMPTION — Tower C 23 storeys, ~180,000 sf (Colliers pre-consultation, Jun 2025), not approved; $1,050/sf base; Arterial income value ~$712/sf as downside · Year-10 refinance capped at 85% LTV (Tower A) and 75% (Tower B). BCH split tranche modelled on Common Ground: 54.5% contribution vesting Yrs 1–10 vs affordable homes, 45.5% mezz payment-free to Yr 10; BCH mezz and Fund repaid by Year-10 refinance. Illustrative scenario for discussion — not a valuation, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, BCH, Building Ontario Fund and City of Markham approvals, LiUNA trustee approval and legal review.

TOWER B · HEAL HOUSE RETIREMENT RESIDENCE · BUILDING ONTARIO FUND

# Retirement living, with care *built in*

*411 retirement suites with two services — 83 held affordable for 40 years — over a Heal House podium, with 80 wellness-stay suites for families, recovery and wellness days.*

| $28.5M | $10.8M | 2.07x | $31.0M | $27.8M |
|---|---|---|---|---|
| REVENUE, RENT + SERVICES | NOI AFTER 62% EXPENSES | DEBT COVERAGE, YR 1 | BUILDING ONTARIO FUND | CASH AT YR-10 REFI |

## 01 · CAPITAL STACK — TOWER B RESIDENCE

| SOURCE | AMOUNT | SHARE |
|---|---|---|
| CMHC MLI Select — 4.25%, 50-yr | $108.2M | 50.0% |
| Building Ontario Fund — patient capital | $31.0M | 14.3% |
| BCH contribution — vests Yrs 1–10 | $27.0M | 12.5% |
| BCH mezz — repaid at Year 10 | $22.5M | 10.4% |
| City of Markham | $10.8M | 5.0% |
| Sponsor equity — land + pre-development | $16.9M | 7.8% |
| **Total cost** | **$216.4M** | **100%** |

## 02 · YEAR 10 — BCH AND THE FUND REPAID

| | |
|---|---|
| Year-11 NOI · value | $14.5M · $242.3M |
| New MLI Select loan at 1.20x | $181.7M |
| Repays mortgage, BCH mezz, the Fund | ($154.0M) |
| **Cash to sponsor · sponsor return** | **$27.8M · 5.2x** |

## 03 · HEAL HOUSE INCOME ON THE SITE

| | |
|---|---|
| Management fee — 5% of Tower B revenue | $1.4M |
| Wellness days — 25% of suite guests × $150 (50% margin) | $0.4M |
| Tower A memberships — 111 × $350/mo (50% margin) | $0.2M |
| **Heal House EBITDA · podium rent-free** | **$2.1M** |

## 04 · IF IT RUNS LEANER

At 65% expenses and 90% occupancy, NOI is $9.7M, coverage 1.87x, and the Year-10 refinance still repays BCH and the Fund with $9.8M to spare.

## 05 · WHY BCH AND THE FUND BACK IT

- **Mirrors CMHC's MLI Select retirement-home financing** — the same route as Heal House Listowel — with BCH's mezzanine repaid in full at Year 10.
- **Seniors' housing and health care in one building**, with 83 homes affordable for 40 years.
- **Modern construction and building technology:** Cube Building Systems, with construction management by V1 — Mike McGrath, formerly of Tucker HiRise.
- **A pension partner alongside:** LiUNA, through Nesting Ground's guarantee pool.

## 06 · STATED OPENLY

- **Licensed retirement home** under Ontario's Retirement Homes Act, like Heal House Listowel; an experienced operator or management contract until Heal House has a track record.
- **Rents of $6,000 / $7,800 all-in need a Markham market study.** Earlier Listowel/Barrie figures (~$14,000/room) are well above market and are not used.
- The Fund's 4% return and Year-10 exit are placeholders; CMHC's retirement-home route to be confirmed.



Sources: ASSUMPTION — licensed retirement home with two services: 1-bed $6,000, 2-bed $7,800/mo all-in; 92% occ.; 62% expenses incl. 5% Heal House management fee; 6.0% cap · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask over ~2,000 homes = $75.5K/home · ASSUMPTION — 80 wellness-stay suites, ADR $185, 72% occ., 30% NOI margin, funded by Sunray cash. Illustrative scenario for discussion.

TOWER A · AFFORDABLE + MARKET RENTAL · TOWER C · BOUTIQUE CONDO

# Homes for every *stage* of life

*Tower A carries the affordable and market rental on the existing approval. Tower C adds a boutique condo tower once rezoned — the condo profit is the program's upside.*

## 01 · TOWER A — 555 RENTAL HOMES, 167 AFFORDABLE

| $10.8M | 1.88x | $253.2M |
|---|---|---|
| STABILIZED NOI | COVERAGE, YR 1 | VALUE AT 4.25% |

| SOURCE | AMOUNT | SHARE |
|---|---|---|
| CMHC MLI Select — 4.25%, 50-yr | $118.6M | 50.0% |
| BCH contribution — vests Yrs 1–10 | $46.9M | 19.8% |
| BCH mezz — repaid at Year 10 | $39.1M | 16.5% |
| City of Markham | $11.9M | 5.0% |
| Sponsor equity — land + pre-development | $20.8M | 8.8% |
| **Total cost** | **$237.2M** | **100%** |

## 02 · TOWER A AT YEAR 10

| | |
|---|---|
| Year-11 NOI · value | $14.8M · $347.1M |
| New MLI Select loan at 1.20x | $254.6M |
| Repays mortgage, BCH mezz | ($149.2M) |
| **Cash to sponsor · sponsor return** | **$105.4M · 8.3x** |

## 03 · TOWER C — 250 BOUTIQUE CONDOS

| | |
|---|---|
| Sales — 156,200 sf at $1,050/sf | $164.0M |
| Construction — 180,000 sf at $340/sf | ($61.2M) |
| Soft costs, financing, rezoning | ($14.2M) |
| Development charges (estimate) | ($21.2M) |
| Sales and marketing (6%) | ($9.8M) |
| Land for the added density ($35/sf) | ($6.3M) |
| **Profit · margin on sales** | **$51.3M · 31%** |

## 04 · CONDO PRICING DECIDES IT

| SALE PRICE | PROFIT | MARGIN |
|---|---|---|
| $712/sf — Arterial income value | $1.6M | 1% |
| $900/sf | $29.2M | 21% |
| $1,050/sf | $51.3M | 31% |
| $1,200/sf | $73.3M | 39% |

## 05 · STATED OPENLY

- **Tower C is not approved.** Markham staff raised concerns about the 49/44/24-storey version; rezoning takes 12–24 months.
- **GTA condo presales are weak;** lenders want 60–70% presold. Below ~$900/sf the tower is better held as rental.
- Tower A's stack includes a $46.9M BCH contribution against 167 affordable homes, earned over Years 1–10.
- Development charges are estimates; tower floor areas are split by storeys pending stamped drawings.



Sources: Arterial hard cost: $370/sf (40–60 storeys), $340/sf (20–40 storeys), Markham (Nov 4–5 2026) · Arterial comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp · CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 via Arterial · ASSUMPTION — Tower C 23 storeys, ~180,000 sf (Colliers pre-consultation, Jun 2025), not approved; $1,050/sf base; Arterial income value ~$712/sf as downside · ESTIMATE — no Arterial Markham/York DC data; affordable homes assumed DC-exempt. Illustrative scenario for discussion — not a valuation, offer, or financial advice.